



**1.**

Candidates can approach the question with a focus on the UK government or government in general. Either approach can gain full marks.

Issues and areas for discussion include

Introduction	• Definitions/descriptions of, e.g. ◦ Privatisation ◦ Public ownership ◦ Regulation ◦ Nationalisation/re-nationalisation.
Developing the response to the question: Application	• Comments from own economic knowledge or based on the data, e.g. ◦ Further comments on Extract A, (apparent disconnect between costs and prices) ◦ Profit margins, the structure of the privatised industry, role of small firms (Extract B) ◦ Labour costs (Extract C) • Prompts in the question, e.g. dominant large scale multinationals, profit margins, blurred lines between wholesale and retail markets.
Developing the response to the question: Analysis	• Arguments for re-nationalisation, e.g. ◦ Complicated structure of the industry ◦ Low price elasticities of demand (few alternatives for the consumer) ◦ Asymmetric information ◦ Natural monopoly ◦ Economies of scale ◦ Profits for infrastructure instead of shareholder value ◦ Commanding heights'/national security arguments ◦ A need for regulation ◦ Arguably a greater chance of energy conservation, insulation, etc. (privatised concerns may have a vested interest in selling more energy). • Arguments against re-nationalisation e.g. ◦ Efficiency ◦ Competition ◦ No guarantee of lower prices ◦ Encouragement of new entrants ◦ Cost implications ◦ Burden on taxpayers.

Evaluation	• 'Rip-off Britain' monopoly versus competition • Market-based policies versus government intervention • Market failure versus government failure • Price transparency versus price opaqueness (asymmetric information) • Role of price elasticity of demand for an essential service (special case of older customers) • Profit margins; validity of comparisons with supermarkets • Better evaluative answers will move beyond general and basic arguments for and against privatisation, and will look at the specifics of the electricity industry. Some prompts are given in the final paragraph; some or all of these could be addressed. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Relevant diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above

[25]

2.

Relevant issues/logical chains of analysis include:

- relevant definitions, eg price discrimination, market conditions, monopoly
- Some extent of monopoly power or other market imperfections such as barriers to entry or a lack of consumer information or a break in the chain of substitutes so that firms are not price-takers instead they can set prices and/or operate opaque or complex pricing
- Consumers with identifiable characteristics, such as age, location, club membership, separable into different markets with no arbitrage/transfer/seepage between markets; costs of separating markets and/or keeping them separate must not exceed the potential gains to the producer
- Different price elasticities of demand; possible reasons for these differences
- Different degrees of price discrimination.
 - First: each individual pays their maximum price
 - Second: price varies with quantity demanded
 - Third: consumers are segmented in to groups

[15]



3.

Issues and areas for discussion include:

Introduction	further discussion of the meaning of price discrimination eg reference to the importance of costs.
Developing the response to the question (application) /analysis)	Application • further examples of p.d. for instance ◦ adult and child fares • examples which are not p.d, for instance ◦ first class and second class train fares (cost differences, not quite the same product) • price discrimination and revenue maximisation or 'yield management' (this phrase is not in the specification) • business models using price discrimination to manage their revenues, eg the low-cost airlines, budget hotels. Analysis • reasons for p.d, eg ◦ to increase profits ◦ to turn a loss-making product into a profitable one ◦ to cross subsidise, so that a good or service is provided which would otherwise be unprofitable ◦ spread fixed costs ◦ gain economies of scale. • effects of p.d, eg ◦ loss of consumer surplus ◦ consumer surplus becomes producer surplus. • advantages to the consumer, eg ◦ can make some products more affordable (eg budget airlines) ◦ can provide a good or service where none was available before p.d. • disadvantages, eg ◦ consumers forced to pay the maximum they are willing to pay; loss of real income, possible elimination of consumer surplus.
Evaluation	• discussion of advantages versus disadvantages • who gains/who loses • instances where price discrimination is linked to social discrimination (different groups in society discriminated against through higher prices) • the link with monopoly • question of possible government intervention • short run versus long run • use of word 'always.' <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has</i>



been made to display that skill.

Also give credit for

- diagrams
- an overall judgement on the issues raised.
- examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]



**5.****Issues and areas for discussion include:**

Introduction	• definitions of monopoly, competition. Examples.
Developing the response to the question (Application)	• candidates might use some pre-existing knowledge of telecommunications and/or the UK railway system. They might mention Network Rail, the train operating companies (TOCs) and the rolling stock companies (Roscos) • equally, they might have a general appreciation that some organisations require central direction and coordination, and benefit from having a 'general' at the apex of a decision making pyramid. They can argue that railways are in that category, due to the need for coordination in terms of ticketing, timetabling. Long term investment, etc • the question is worded so that candidates can achieve full marks without reference to telecoms or railways, but can cite other examples.
Developing the response to the question (analysis)	• basic concepts, producer surplus, consumer surplus • basic idea that monopolists reduce output to push up price consumer surplus becomes producer surplus • there is also a deadweight loss • welfare transfers and welfare losses between producers and consumers when monopolies are broken up ◦ without consideration of scale economies ◦ with consideration of scale economies • effects of wider considerations, eg technological change employment, international competition • natural monopoly • efficiency concepts: productive, allocative.
Evaluation	• consideration of the word 'always' contained in the question • question of whether breaking up a monopoly leads to 'perfect' competition, or merely replaces a monopoly with an oligopoly • public versus private sector • the role of government, regulators • occasions where monopoly is arguably in the consumer interest, eg when copyrights, designs, patents, grant a limited monopoly in order to encourage innovators to share their ideas • occasions when patents etc are used to restrict competition and work against the consumer interest, eg when biotech companies attempt to 'patent' genetic information or types of seed • efficiency econs of scale, natural monopoly • market failure/resource allocation. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

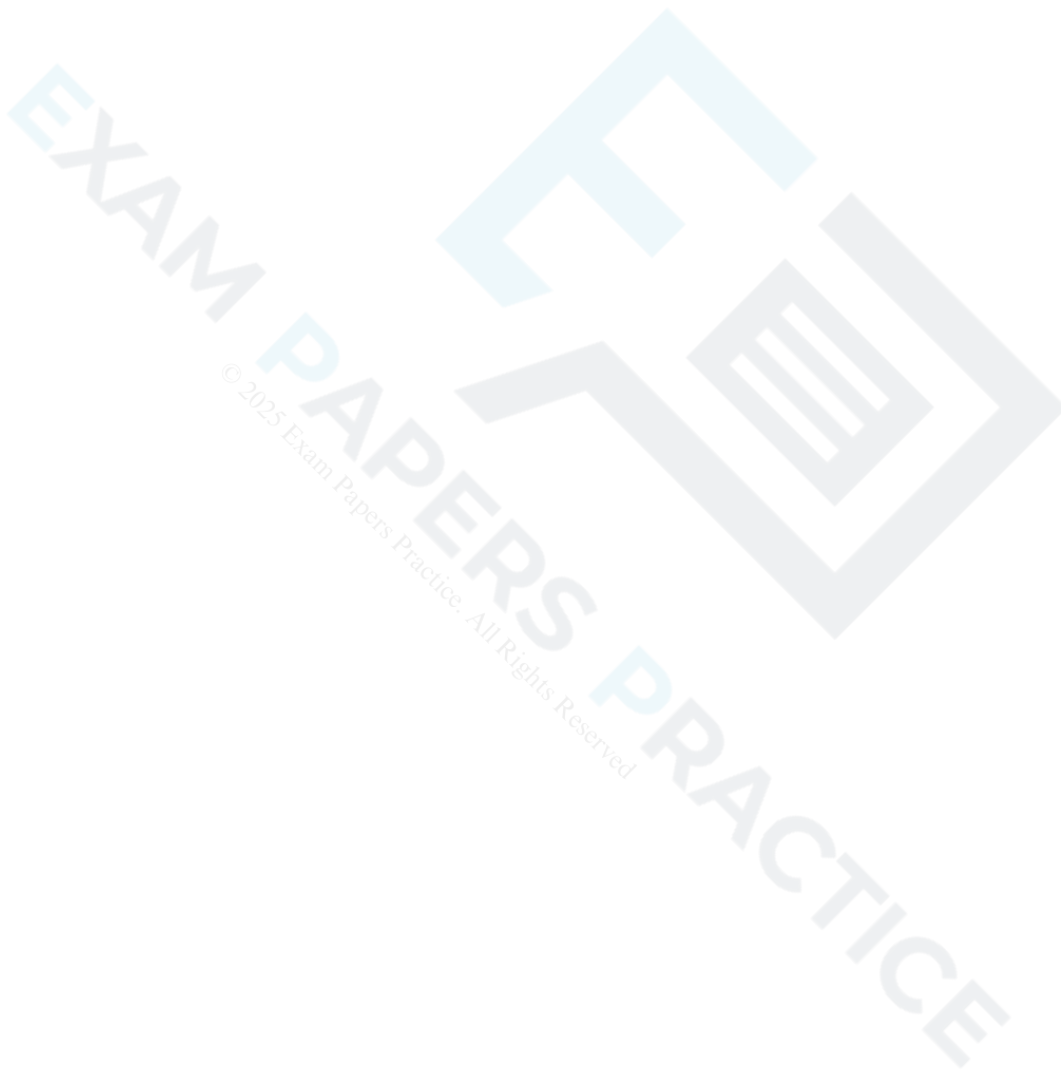


Also give credit for

- diagrams
- an overall judgement on the issues raised.
- examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]





6.

Issues and areas for discussion include

Introduction	• Description of 'market forces' in housing ◦ perfect competition ◦ resource allocation ◦ efficiency
Developing the response to the question: Application/ Analysis	Application ◦ consequences of the assumptions of perfect competition ◦ price taking behaviour ◦ short run equilibrium, incentives to expand or contract ◦ long run equilibrium, price = MC; MC = MR; AC = AR ◦ productive and allocative efficiency Analysis • Market success: consumer and producer surplus ◦ Market failures: dominant firms; externalities; lack of public goods/services; merit goods ◦ Lack of economies of scale.
Evaluation	• Do firms and consumers really have perfect knowledge, e.g. of marginal costs and benefits? ◦ Asymmetric information, are decisions really made on the margin? ◦ Monopoly and monopsony ◦ Merit and demerit goods ◦ Externalities/social optimum ◦ Non-monetary considerations ◦ Static/dynamic efficiency/Economies/diseconomies of scale ◦ Is perfect competition a value laden concept (note the word 'perfect')? ◦ Can all goods and services (e.g. roads, health) be treated as consumer goods, when they have significant spill-over effects? ◦ Situations where the supplier needs to be 'de-centralised' and close to the consumer, to cater for consumer preference, choice, etc.: e.g. few would argue that the government should run our supermarkets. ◦ Situations where some degree of 'centralised' command & control and/or coordination and/or strategic forward planning is necessary: e.g. should competing companies be running our railways? <i>Examiners should note that, for some of the weaker or average</i>

	<i>candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Diagrams - An overall judgement on the issues raised - Examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

7.

Relevant issues/logical chains of analysis include:

- relevant definitions, eg average revenue, marginal revenue, perfect competition (eg large number of buyers and sellers), monopoly (single/dominant firm)
- Perfect competition: the firm is small compared to the industry with no entry/exit barriers and is therefore a price taker it can clear its production lines if it sells at the current market price. Since it can clear production lines at the current market price it would be irrational (assuming profit maximisation) to sell below that price. If the seller tries to sell above the market price, demand will disappear (or price elasticity of demand is infinity), because of perfect knowledge and homogeneous products (or products being perfect substitutes. While the market demand curve is downward sloping the seller-perceived demand curve (demand curve for the output of the firm) is horizontal and therefore $AR = MR$
- Monopoly: the firm is the industry and the firm has some control over price; the downward sloping market demand curve is the firm's average revenue line. Because the firm reduces price to increase quantity demanded or increases price to reduce quantity demanded MR also slopes downwards and MR is less than AR at each level of quantity
- Geometrical relationships
- diagrams to support the explanation, eg AR and MR for perfect competition and monopoly

[15]

**8.****Issues and areas for discussion include**

Introduction	• basic assumptions of perfect competition theory, eg perfect knowledge, homogenous products, entry barriers, no. of buyers and sellers. • basic assumptions common to other theory, eg rational behaviour, profit maximisation.
Developing the response to the question Application/ Analysis	• Reasons why some assumptions may be unrealistic eg ◦ highly technical products (imperfect knowledge); ◦ product differentiation/branding/persuasive advertising • Reasons why theory can go out of date, eg ◦ large numbers of small firms being merged, becoming more monopolistic • Possible effects of technology such as the internet, supporting competition e.g. ◦ Improving information flows ◦ Removing barriers to entry ◦ Reducing advantages of scale economies (small firms on eBay, Amazon small bookshop partners) • Technology supporting theory in a practical sense, eg ◦ Computers helping firms to track marginal costs and revenues, therefore supporting the $MC = MR$ assumption.
Evaluation	• internet may support price discrimination eg budget airlines • the internet allows some monopolies to emerge and grow, eg Google, Microsoft • however, some dominant firms on the internet challenge traditional monopolies (half of Amazon profits come from books whose sales are too low for Waterstones, Smiths, Tesco etc to handle) • contestability • relevance of legal restrictions (copyright, designs, patents). <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised • examples.

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[25]



9.

- Relevant definitions, eg perfect competition, static efficiency, monopoly, dynamic efficiency.
- Perfect competition and static efficiency, eg because perfect competition involves price taking, the seller-perceived demand curve is horizontal, so that when the industry is in equilibrium $P = MC$ giving allocative efficiency, and $P = MC$ where AC is minimised, giving productive efficiency. The structure of the industry gives static efficiency due to price seeking behaviour which drives down costs by eliminating inefficient firms.
- Monopoly and dynamic efficiency, eg an argument that monopolies tend to be large, and achieve economies of scale; over time, large firms can devote more resources to research & development and so achieve dynamic efficiency.

ALTERNATIVELY

- perfect competition and monopoly discussed together in a comparative way
- other relevant arguments, eg the possibility of a 'tradeoff' between static and dynamic efficiency
- why monopolies may not be dynamically efficient/perfect competition may not be statically efficient.
- **Use of diagrams to support the explanation:** A complex diagram, eg showing perfect competition and monopoly together, can be rewarded

[15]

Issues and areas for discussion include:

Introduction	• definition of 'competition' • differences between gas and other commodities • regulation explained/defined.
Developing the response to the question (Application)	• use of theory (monopoly) • discussion based on information from the data related to market conditions, eg price changes (Extract D) ◦ market share (Extract E) ◦ piped gas and LPG/natural monopoly (Extract F) ◦ candidate's own knowledge of relevant issues.
Developing the response to the question (Analysis)	Policies aimed at increasing competition, examples, effects eg • competition policy • privatisation • deregulation vs regulation • removing entry barriers • public/private partnerships • contestable markets • increase the scope of OFGEM, eg to cover LPG supplies • direct price controls • simpler/more transparent price tariffs.
Evaluation	• efficacy of OFGEM • question its focus on 'natural monopoly' • what use is 'switching' if tariffs are complicated? (price transparency) • infrastructure investment (data mentions lack of storage. Gasholders would help reduce price volatility) • should regulators directly regulate price? • should regulation operate at a national or EU level? • advantages/disadvantages of each method, eg 'regulatory capture'. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

**11.****Issues and areas for discussion include**

Introduction	• Definitions of, eg. ◦ monopoly policy ◦ long run ◦ abuse of power.
Developing the response to the question Application/ Analysis	Application • Policy options, eg ◦ ending monopoly (losing advantages as well as disadvantages) ◦ amending monopoly (keep advantages, control disadvantages, through regulation/taxation/other means) ◦ remove barriers to entry or other market imperfections. Analysis • basic criticisms of monopoly (eg efficiency, deadweight losses) • basic defence (eg econs of scale) • basic arguments in favour of competition policy • relevant concepts, producer surplus, consumer surplus • welfare transfers and welfare losses between producers and consumers when monopolies are broken up ◦ without consideration of scale economies ◦ with consideration of scale economies • effects of wider considerations, eg technological change employment, international competition • efficiency concepts: productive, allocative • contestability; • “creative destruction”



Evaluation	• Question of whether breaking up a monopoly leads to 'perfect' competition, or merely replaces a monopoly with an oligopoly. • The role of government, regulators • Occasions where monopoly is arguably in the consumer interest, eg when copyrights, designs, patents, grant a limited monopoly in order to encourage innovators to share their ideas • Occasions when patents etc are used to restrict competition and work against the consumer interest • The greater divisibility of many modern technologies, eg PCs and laptops replacing large business machines. MES moves to the left on a LRAC graph, when there is an absence of indivisibilities • Market forces along with technical change have made computer technology affordable to the masses • Similar experiences with other products, eg audio-visual, phones • Whether the experience of the computer industry is of wider significance in all cases • Question the 'will not last'. Is it the case they can't abuse monopoly power? • Maybe IBM was effectively targeted by anti-monopoly policy • This question is worded to allow high evaluation scores for a focus on examples other than the computer industry. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams • An overall judgement on the issues raised. • Examples.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

**12.****Issues and areas for discussion include:**

- Relevant definition/explanation, eg a market where a small number of firms account for a high proportion of sales or another dimension of economic importance in an industry. Reference to concentration ratios.
- Analysis of reasons for price stickiness, for example:
The suppliers are an oligopoly and adopt the oligopolist's price seeking behaviour, having to judge not only consumer reactions to a price change, but also competitor reactions, fearing that they face elastic demand for a price increase, and inelastic demand for a price decrease, either way losing total revenue.
 - price leadership;
 - cartels/collusion/other relevant monopoly points
 - admin costs
 - implications of lack of storage capacity (mentioned in the data)
 - reward explanation of 'asymmetric' stickiness (prices rising more readily than they fall) as this is likely to be quite sophisticated, eg asymmetric barriers to entry and exit causing asymmetric competitive pressure (it's easier to leave the market than enter it, so existing firms are more likely to leave when costs and prices are rising than new firms are likely to enter when costs and prices are falling).
- Appropriate use of diagrams, eg kinked demand curve; game theory matrix.

[9]**15.****Relevant issues/logical chains of analysis include:**

- **relevant definitions** eg infrastructure, investment, product markets, labour markets, general technical
- **explanation** of effects on labour and product markets
- The short run (construction phase) will create a demand for the labour of workers directly involved in making the new railway, and also spin-off jobs in firms supplying components and materials
- In the long run (operational phase) reduced journey times for commuters will increase viable travel-to-work distances. However, the increased demand might be London based rather than based in the northern cities, so might increase the north-south labour market divide
- Short run (construction phase) the demand for raw materials, components, rolling stock, etc.
- Long run (operational phase): more efficient HS2 line takes pressure of conventional lines, so all lines help get goods and freight to market, more quickly.
- diagrams to help support explanations, eg supply of and demand for labour, and/or goods and freight.

[15]

**16.****Relevant issues/logical chains of analysis include:**

- **relevant definitions**, eg monopoly, monopoly power
- **Barriers to entry** affecting the **number of competitors**, these can include legal barriers, such as patents/copyright; set up costs; economies of scale. These barriers might be deliberate, eg supported by government, or might be inherent in the nature of the product or a 'natural monopoly' such as water. Monopolies might be a single firm or created by a 'collusive' or 'complex' monopoly during the production stage or a 'cartel' at the selling stage (1mark). Cartels are generally illegal
- **NOTE:** Several individual **barriers to entry**, for example economies of scale, minimum efficient scale, can be regarded as 'sources' and expanded for further marks.
- **Advertising and product differentiation** aimed at creating real or imagined differences between products through branding and image building, reducing the price elasticity of demand by convincing consumers that products are less homogeneous than they really are
- **Other market imperfections**, eg lack of consumer information, minimum efficient scale, international trade barriers, a break in the chain of substitutes, natural monopoly
- diagrams to support explanations, e.g oligopoly/monopoly/minimum efficient scale (M.E.S.)

[15]**17.****Relevant issues/logical chains of analysis include:**

- defining/distinguishing, for example between monopsony (a single buyer) and oligopoly (competition among a few sellers)
- monopsony: profitability depends on costs and revenues while firms face rising costs changing with market forces, revenues may be depressed by uncompetitive practices by dominant buyers in the supply chain. Perfect competition theory assumes a large number of buyers and sellers buyers and sellers reach an equilibrium price through market forces and no individual buyer or seller is able to influence price by their own actions. Monopsony swings the balance of power from the sellers to buyers who are able to bid down the price since buyers know that sellers have fewer alternatives
- oligopoly: Price seeking behaviour, price stickiness, etc on the part of supermarkets, and their effects on producers further along the supply chain
- the power exerted by a handful of supermarket buyers
- the answer can address the profitability of farms or dairies (processors) or both
- appropriate use of diagrams, eg demand curves related to monopsony/oligopoly

[9]

Candidates do **NOT** have to discuss the effects of both the size of firms and structure of the market for full marks.

Issues and areas for discussion include

Introduction	Basic definitions/descriptions of ownership, control, structure (eg. competition/monopoly) barriers), conduct (eg pricing behaviour); performance (eg productive/allocative efficiency).
Developing the response to the question Application/ Analysis	Application • Candidates might approach the information in the stem from the angle of perfect/imperfect competition, price taking versus price making, or product differentiation. • They could also elaborate on the possibility of some element of price discrimination taking place here. Analysis • Using the basic information given in the quote, and making reasonable assumptions, candidates can analyse the Cafe scenario. They might also use examples from other industries to support the cafe example. They can comment, for example, on ◦ ownership and control together: profit maximising ◦ divorce of ownership from control: alternative objectives ◦ structure • number of firms • size of firms • entry conditions • location. ◦ Conduct (Behaviour) • pricing taking/price making/price seeking/price leadership (barometric, dominant firm) • ownership/profit maximisation/non-profit objectives • product differentiation/Advertising/Marketing/Brand image-making/Product differentiation • non-price competition (ambience, free wifi etc) ◦ Performance (Efficiency) • productive • allocative • static • dynamic. NOTE: Monopolistic Competition is not on the current specification, but should be credited if used in relevant discussion



Evaluation	• Reasons why ownership and control might be related to structure, conduct and behaviour. • Reasons why size and structure might be closely related to behaviour and efficiency. ◦ eg the assumptions of perfect competition: profit maximising behaviour and price taking, leading to long run equilibrium and productive and allocative efficiency. • The question of whether structure automatically governs behaviour and efficiency. ◦ for example, a group of multinational coffee outlets in a town centre can look monopolistic, but actually behave very competitively, perhaps exhibiting 'price taking' behaviour ◦ possibility of price leadership • following the dominant firm • the small independent firm setting the pace ◦ possibility of collusion PLEASE NOTE: The strongest evaluative answers are likely to discuss the above concepts in the context of the Cafe/Coffee Shop scenario. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams • An overall judgement on the issues raised • Examples

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

**19.****Relevant issues/logical chains of analysis include:**

- relevant definitions, e.g. PED, total revenue, costs, price discrimination
- Price elasticity of demand can change with the time of day eg people on their way to work or on a timed lunch break have fewer alternatives and therefore lower PED. Afternoon customers are under less pressure and so have more alternatives and therefore higher elasticity. The café has large fixed costs, eg staff and therefore there are times of day when it works to full capacity and others where it is under capacity. It therefore needs to spread costs more evenly and then if it can maximise TR it will also maximise profit. Revenue is increased by increasing price when PED is inelastic and reducing price when demand is elastic. In some ways this is a similar pricing strategy to that of the low cost airlines
- This pricing strategy as an example of price discrimination
- Explanation of geometrical relationships on a diagram.
- diagrams to support the explanation, eg AR, MR, MC, price-elastic and inelastic demand.

NOTES: (1) PED, revenues and costs are mentioned in the stem of the question to assist students in focusing their answer. Do not penalise if any of these three items is not specifically discussed. Full marks can be achieved for a clear explanation which does not necessarily discuss all three of these items in any depth, although it can be expected that at least two will be necessary to convey a convincing explanation. **(2)** Scenarios other than the Cafe/Coffee Shop can be credited here if they help the explanation (e.g. on-peak/off peak rail travel can be used in a relevant way)

[15]

Issues and areas for discussion include:

Introduction	• Definition/explanation of 'more responsive to market forces' • Basic reasons why governments of developed countries support agriculture.
Developing the response to the question (application)	NOTE: Students are not confined to discussion of direct intervention on farm prices; they can discuss government intervention anywhere along the supply chain (e.g. government attempts to modify the behaviour of supermarkets/powerful buyers), and they could then discuss effects working backwards along the chain to the farm source. • Comments from own economic knowledge or based on the data, eg • S & D theory (elasticities, shifts, potentially unstable prices; price support through quotas shifting S to left) • Possible policies for stabilising prices and incomes ◦ national government: competition policy, regulation ◦ EU level: quotas, intervention buying, buffer stocks ◦ milk as a staple foodstuff, an 'essential' ◦ effects of free trade and globalisation (imports are mentioned in Extract E) ◦ production and productivity (Extract F; further discussion of Extract D) ◦ intensity of production (mentioned in Extract F) ◦ economies of scale (Extract F)
Developing the response to the question (analysis)	• Arguments for markets, eg ◦ rationing/signalling ◦ consumer sovereignty and choice ◦ decentralisation ◦ opportunity costs ◦ efficiency ◦ problems with government failure. • Arguments against, eg ◦ market failure, externalities ◦ need for price and Income stabilisation ◦ imperfect information ◦ influence of supermarkets • changes in demand and supply conditions • globalisation, free trade • need for government to act as a broker between producers and retail sector.



Evaluation	• Market failure versus government failure • Consequences of government involvement (eg costs to the taxpayer) versus consequences of non-involvement (eg costs to the consumer; danger of a break in supply) • Free trade versus protection • Power of the supermarkets/small number of processors • Policy appropriate at national level or EU level? • Difficulties of identifying and acting for public interest/interests of consumers/producers • Unintended consequences, eg effects of quotas; milk as a raw material, impacting on many other industries; environmental side-effects of intensive farming • There is information in the data regarding Spain and UK which appears to indicate that quotas discourage economies of scale, and lifting quotas therefore increases efficiency. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams/An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

Issues and areas for discussion include

Introduction	Basic definitions/descriptions of oligopoly behaviour, eg collusion, cartels; policy responses, eg anti-monopoly policy. A basic distinction between collusion and cooperation.
Developing the response to the question: Application / Analysis	Application - Students might approach the information in the stem from the angle of perfect versus imperfect competition or price taking versus price making, or product differentiation. - They could also use a structure-conduct-performance (SCP) approach - The concept of 'public interest' Analysis A sensible approach is to distinguish between 'collusion' and 'cooperation' and consider how each would affect issues such as - Productive efficiency - Allocative efficiency - Public interest - Economic welfare - Consumer/producer surplus Discussion of various issues listed in the stem; various approaches (one discussed in depth, or several in less depth) can earn full marks. - Fixing prices - Jointly deciding on output - Research - Developing new products - Use of the phone charger case as an example of 'cooperation'. An industry wide 'standard' product that - Creates internal and external economies of scale - Reduces waste - Potentially reduces prices to consumers and increases convenience - Use of the roaming charges case as an example of 'collusion' among suppliers to - make pricing opaque, - create asymmetric information - divorce prices from genuine costs - turn consumer surplus into producer surplus - Policy responses to the above, and/or other examples provided by the student, including

	◦ Cooperation case: subsidies, technical advice, legislation ◦ Collusion case: investigation, regulation, legal means.
Evaluation	• Discussion of the word 'never' in the stem • Identification of 'other aspects' that might or might not attract government intervention • Case-by-case intervention versus blanket intervention • General discussion of free market versus governmental approaches; market failure versus government failure Strengths and weaknesses of various policy options. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams ◦ An overall judgement on the issues raised ◦ Examples.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

24.

For relevant definitions, eg oligopoly, interdependence, uncertainty, cartel.

For explanation of the pricing and/or output strategy of an oligopolist (full marks can be obtained by discussing one in depth)

Examples include

- Oligopolists are not price makers like monopolists nor price takers like perfect competitors instead they can be described as price seekers. This is because their price elasticity of demand is less predictable, and it is possible for total revenue to be reduced by a reduction or increase in price. It depends on whether rivals react to a price cut by reducing theirs or to a price increase by leaving theirs where it is and this interdependence can be shown using a kinked demand curve. The stress of uncertainty can be reduced by collusion which is illegal. Or firms might use non-price competition and product differentiation to attempt to boost revenue while keeping published prices constant.
- Continuation of discussion, eg branding, product differentiation.
- Other relevant discussion, eg price discrimination

Use of diagrams to support the explanation, eg kinked demand curve. Regard a game theory matrix as a type of diagram.

Relevant real world examples and/or relevant reference to the UK and/or other economies.

[15]

25.

For relevant definitions, e.g. small firm, competitive market, perfect competition (take a list of 'features' of perfect competition as a definition/explanation).

For explanation:

Examples include

- The size of firms can be measured in various ways, e.g. capital employed, number of employees, market share. Due to economies of scale and other factors the perfect competition model no longer fits many market settings where forms of imperfect competition are the norm. The internet has helped some small businesses, in terms of 'entry barriers for example a toy shop no longer needs to pay up front to be located in a high street with high rents and low footfall but can be on a virtual market place at low cost and 'visited by thousands of potential customers. It can also be argued that the internet supports other aspects of competition, such as 'perfect knowledge'. Small firms can also 'piggy back' on the economies of scale created by large operators like Amazon.
- Other lines of argument; the most successful are likely to focus on aspects of the 'assumptions' of competition models and the possible impact of the internet on each.
- Question refers to "some markets" and so credit relevant points relating to situations where the internet does not make some markets more competitive, but in fact makes them less competitive. Amazon for example might be quoted as a dominant firm; alternatively as a company providing a 'platform' for smaller 'partners'.

Use of diagrams to support explanations, e.g.

Perfect competition, perhaps showing costs being lowered due to internet; ease of entry (supply curve shifts right).

Relevant real world examples and/or relevant reference to the UK and/or other economies.

[15]